OVERVIEW

Escrow holdbacks on Wholesale Broker and Non-Delegated Correspondent loans must be approved by Underwriting, based on applicable eligibility guidelines, prior to release of final closing documents.

For all loans originated with an escrow holdback, Flagstar Bank requires the applicable Escrow Holdback Agreement form (or equivalent) be included in the closing package:

- *Flagstar Escrow Holdback Agreement*, Doc. #3655
- *Escrow Company – Escrow Holdback Agreement*, Doc. #3656.

ESCROW HOLDBACK DETERMINATION – CONVENTIONAL AND GOVERNMENT

For Conventional and Government loans, all funds associated with an escrow holdback agreement will be net funded by Flagstar Bank at the time of funding and must be held by Flagstar Bank.

The following guidelines must be followed when determining the amount of your escrow holdback.

- For Conventional loans, an escrow account equal to 120% of the estimated costs for completing the postponed improvements and/or repairs must be withheld from the Loan proceeds. However, if the contractor or builder can guarantee a fixed-price contract for the improvements and/or repairs it is acceptable to use the contract price for the escrow amount
- For FHA and VA loans, an escrow account will be 1 ½ times the highest bid. Bids may not exceed $6,666 for maximum escrow of $10,000.
    - Note: Overlay does not apply to purchases of HUD REO properties where FHA permits $10,000 in repairs and $11,000 repair escrow or properties subject to disaster repairs where FHA limits the repair escrow to $5,000.
- For USDA loans, an escrow account will require two bids and the funds to be escrowed are not less than 100 percent of the repair cost contract. Allowed only by case by case basis for exterior property that cannot be completed due to inclement weather
- Repairs on conventional loans are to be completed within 180 days of closing.
- Deadlines on repairs for government loans will be addressed on a case by case basis.
- After repairs are completed, funds contributed by the borrower from his/her own funds may be returned to the borrower. Please note: If the loan is FHA and the seller was HUD, any remaining escrow holdback funds must be applied to the principal balance of the loan.

<u>FLAGSTAR BANK HELD FUNDS</u>

Below is a summary of the procedures for all loans associated with an escrow holdback held by Flagstar Bank.

- A condition added in underwriting will require that the Escrow holdback amount be placed on the Closing Disclosure in Section H, for borrower funded and Section N for seller paid.
- Borrower must sign a *Flagstar Escrow Holdback Agreement*, Doc. #3655 (or equivalent form).
- Upon funding all holdback funds will be net funded from the loan disbursement and held by Flagstar.
- Flagstar will contact the homeowner and explain the work that needs to be done along with what documentation Flagstar will need to move forward with the final inspection.
- Upon receipt of the required documentation Flagstar will order a final inspection to confirm the completion of work.
- Once Flagstar receives a final inspection that confirms the work has been adequately completed Flagstar will disburse the funds. Please note: if the loan is FHA and the seller was HUD, any remaining escrow funds must be applied to the principal balance of the loan.

ESCROW HOLDBACK DETERMINATION – NON-AGENCY – JUMBO ARMS 5/6, 7/6 & 10/6 ARMS, DOCTOR LOANS, DESTINATION HOMES AND PROFESSIONAL LOANS ONLY

For Non-Agency products Jumbo 5/6, 7/6 and 10/6 ARMs, Doctor Loans, Destination Homes and Professional Loans only, the escrow funds are to be held by the Title Company or Escrow agent and disbursed to the appropriate party upon completion of the final inspection and acceptance by Flagstar.

The following guidelines must be followed when determining the amount of your escrow holdback.

- An escrow account equal to 120% of the estimated costs for completing the postponed improvements and/or repairs must be withheld from the Loan proceeds. However, if the contractor or builder can guarantee a fixed-price contract for the improvements and/or repairs it is acceptable to use the contract price for the escrow amount.
- Incomplete items must be completed within 180 days of the date printed on the Note.

SETTLEMENT/ESCROW AGENT HELD FUNDS

Below is a summary of the procedures Flagstar has in place for all loans associated with an escrow holdback.

- A condition in underwriting will require that the Escrow holdback amount be shown in Section H of the Closing Disclosure, for borrower funded and Section N for seller paid.
- Settlement Agent/Escrow Agent will hold the funds and provide the signed Escrow Holdback Agreement, Doc. #3656 (or equivalent form) and must explain the work to be completed, amount of the holdback, requirements for Flagstar to obtain a final inspection and release of funds.
- Flagstar's Post Closing dept tracking report will be used to monitor completion of the required work.
- Settlement Agent/Escrow Agent will email the Post Closing unit (postpurchase@flagstar.com) when the builder has advised that the work has been completed and a final inspection needs to be ordered.
- Post Closing will order the final inspection on Wholesale Broker loans. The Correspondent is responsible for ordering and providing the final inspection.
- Upon receipt and acceptance of the final inspection, Post Closing will upload final inspection to the loan file.
- Post Closing will advise Settlement Agent/Escrow Agent to release funds.